

PABRAI INVESTMENT FUNDS

1250 S. Capital of Texas Highway, Suite 1-520
Austin, Texas 78746-6414
USA

Tel. +1.512.999.7110
mp@pabraifunds.com

To: All Limited Partners and Investors of the Pabrai Investment Funds
From: Mohnish Pabrai, Managing Partner
Date: April 14, 2023
Re: **Q1 2023 Letter to Partners**

Dear Partners:

For the quarter ended March 31, 2023, a total of \$6.8 million was added to the various funds by new and existing partners. The additions on a per fund basis are:

PIF2: \$0.9 million

PIF3: \$3.9 million

PIF4: \$2 million

PIF2 is the oldest fund and has been closed to new investors for many years. SEC rules limit PIF2 to a total of 100 partners and those slots are currently filled. Until we have full redemptions, PIF2 is closed to new investors.

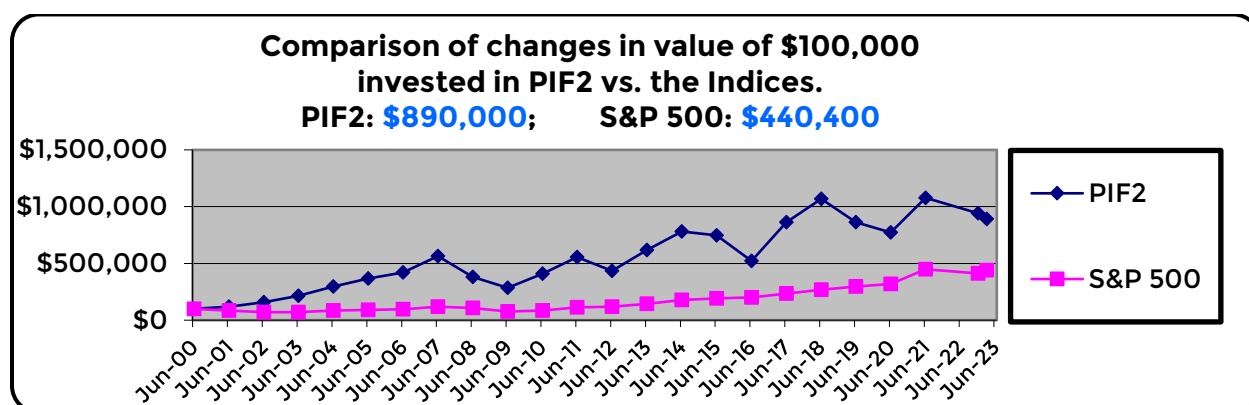
PIF3 is our offshore fund for non-US accredited offshore investors, and U.S. IRAs, foundations, and endowments. The minimum investment to join PIF3 as a new partner is \$4 million. PIF3 is closed to new and existing IRAs but continues to be open to US foundations/endowments and foreign investors who are happy to join despite PIF3's concentration today (more on this below). PIF4 is for qualified US investors. The minimum investment to join PIF4 as a new partner is \$5 million.

For current investors in any of the funds, the minimum addition to their current investment is \$25,000. Here are the deposit slips for [PIF2](#), [PIF3](#) and [PIF4](#). If you are interested in or would like more information about the July 1, 2023 opening, please contact me at mp@pabraifunds.com or Kimberly Engleman at ke@pabraifunds.com.

The updated performance numbers on all the funds are:

THE PABRAI INVESTMENT FUND II, LP (US Qualified Investors) Performance Summary:

	S&P 500	PIF2 (net to investors)
10/1/00-6/30/01	-14.0%	17.4%
7/1/01-6/30/02	-18.0%	35.3%
7/1/02-6/30/03	0.3%	34.2%
7/1/03-6/30/04	19.1%	38.7%
7/1/04-6/30/05	6.3%	23.4%
7/1/05-6/30/06	8.6%	15.0%
7/1/06-6/30/07	20.6%	34.0%
7/1/07-6/30/08	-13.1%	-32.4%
7/1/08-6/30/09	-26.2%	-25.2%
7/1/09-6/30/10	14.4%	43.6%
7/1/10-6/30/11	30.7%	35.8%
7/1/11-6/30/12	3.9%	-21.8%
7/1/12-6/30/13	20.6%	42.2%
7/1/13-6/30/14	24.6%	26.7%
7/1/14-6/30/15	7.4%	-4.5%
7/1/15-6/30/16	4.0%	-30.0%
7/1/16-6/30/17	17.9%	64.9%
7/1/17-6/30/18	14.4%	23.9%
7/1/18-6/30/19	10.4%	-19.2%
7/1/19-6/30/20	7.5%	-10.6%
7/1/20-6/30/21	40.8%	39.7%
7/1/21-6/30/22	-10.6%	-28.9%
7/1/22-3/31/23	10.0%	16.1%
1/1/23-3/31/23	7.5%	-5.5%
Annualized	6.8%	10.2%
Cumulative	340.4%	790.0%

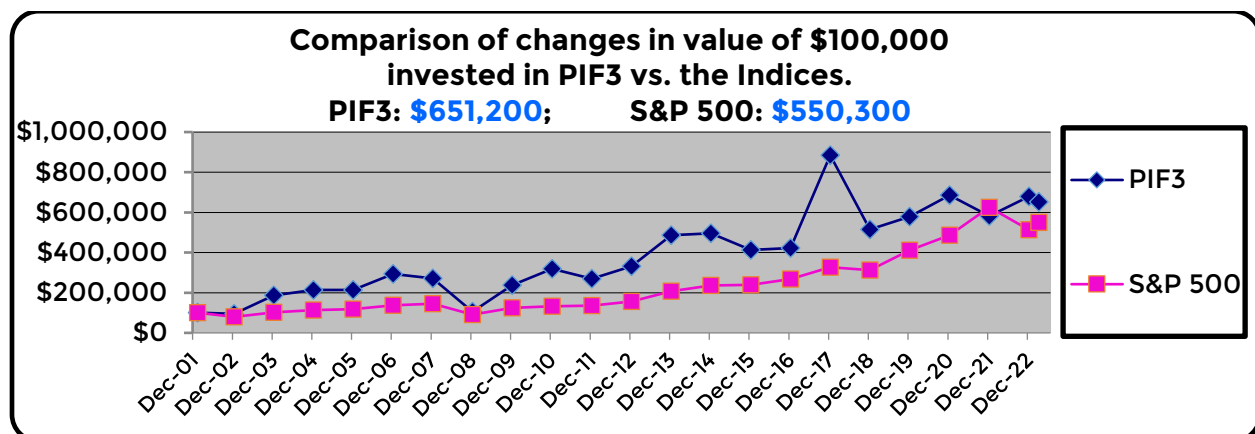


PIF2 Investors:

A \$100,000 investment in PIFI at inception on July 1, 1999 and rolled over into PIF2 on 12/31/02 (\$197,900) was worth \$1,247,000 as of March 31, 2023 (net to investors). This equates to an annualized return of 11.2% since inception – after all fees and expenses. An investment of \$100,000 in the S&P 500 on July 1, 1999 was worth \$467,800 on March 31, 2023 – an annualized gain of 6.7%. The S&P 500 gains include reinvested dividends. In the graph above, the start date for PIF2 is shown as June 2000 for readability. The correct start date is October 2000.

PABRAI INVESTMENT FUND 3, LTD (Offshore/IRA Investors) Performance Summary:

	S&P 500	PIF3 (net to investors)
2/1/02-12/31/02	-20.4%	-5.2%
1/1/03-12/31/03	28.7%	96.5%
1/1/04-12/31/04	10.9%	14.7%
1/1/05-12/31/05	4.9%	-0.2%
1/1/06-12/31/06	15.8%	37.8%
1/1/07-12/31/07	5.5%	-7.8%
1/1/08-12/31/08	-37.0%	-60.9%
1/1/09-12/31/09	26.5%	125.0%
1/1/10-12/31/10	15.1%	34.4%
1/1/11-12/31/11	2.1%	-15.7%
1/1/12-12/31/12	16.0%	23.4%
1/1/13-12/31/13	32.4%	46.6%
1/1/14-12/31/14	13.7%	1.9%
1/1/15-12/31/15	1.4%	-16.7%
1/1/16-12/31/16	11.9%	2.3%
1/1/17-12/31/17	21.8%	109.2%
1/1/18-12/31/18	-4.4%	-41.9%
1/1/19-12/31/19	31.5%	12.5%
1/1/20-12/31/20	18.4%	18.4%
1/1/21-12/31/21	28.7%	-15.2%
1/1/22-12/31/22	-18.1%	16.8%
1/1/23-3/31/23	7.5%	-4.0%
Annualized	8.4%	9.3%
Cumulative	450.3%	551.2%

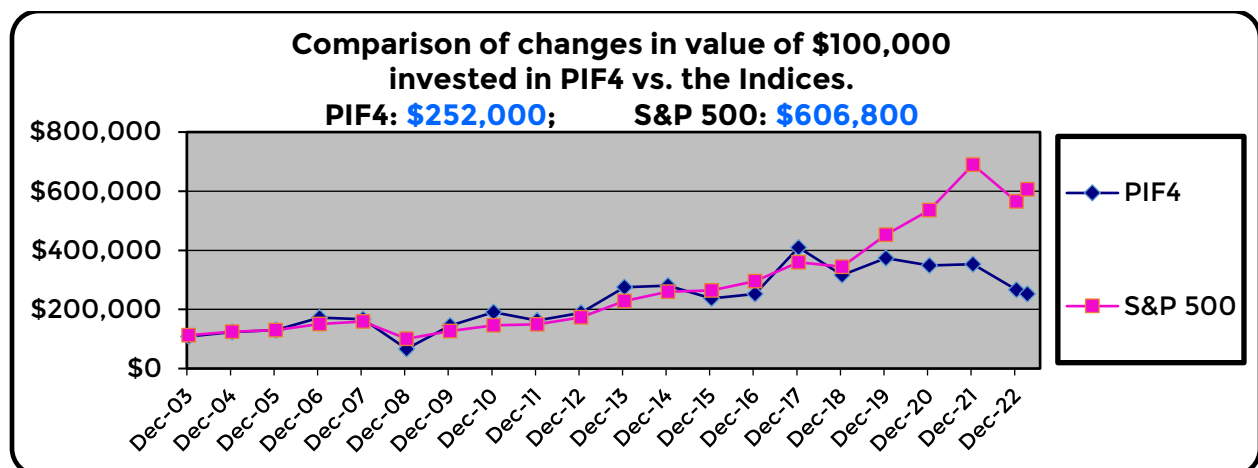


PIF3 Investors:

A \$100,000 investment in PIF3 at inception on February 1, 2002 was worth \$651,200 as of March 31, 2023 (net to investors). This equates to an annualized return of 9.3% since inception. An investment of \$100,000 in the S&P 500 on February 1, 2002 was worth \$550,300 on March 31, 2023 – an annualized gain of 8.4%. The S&P 500 gains include reinvested dividends. In the graph above, the start date for PIF3 is shown as December 31, 2001 for readability. The correct start date is Feb. 1, 2002.

THE PABRAI INVESTMENT FUND IV, LP (US Qualified Investors) Performance Summary:

	S&P 500	PIF4 (net to investors)
10/1/03-12/31/03	12.2%	8.4%
1/1/04-12/31/04	10.9%	14.4%
1/1/05-12/31/05	4.9%	4.9%
1/1/06-12/31/06	15.8%	32.4%
1/1/07-12/31/07	5.5%	-3.4%
1/1/08-12/31/08	-37.0%	-60.0%
1/1/09-12/31/09	26.5%	118.8%
1/1/10-12/31/10	15.1%	30.7%
1/1/11-12/31/11	2.1%	-14.8%
1/1/12-12/31/12	16.0%	16.1%
1/1/13-12/31/13	32.4%	46.0%
1/1/14-12/31/14	13.7%	1.8%
1/1/15-12/31/15	1.4%	-15.4%
1/1/16-12/31/16	11.9%	6.3%
1/1/17-12/31/17	21.8%	62.4%
1/1/18-12/31/18	-4.4%	-22.8%
1/1/19-12/31/19	31.5%	18.0%
1/1/20-12/31/20	18.4%	-6.7%
1/1/21-12/31/21	28.7%	1.5%
1/1/22-12/31/22	-18.1%	-24.4%
1/1/23-3/31/23	7.5%	-5.6%
Annualized	9.7%	4.9%
Cumulative	506.8%	152.0%



PIF4 Investors:

A \$100,000 investment in PIF4 at inception on October 1, 2003 was worth \$252,800 as of March 31, 2023 (net to investors). This equates to an annualized gain of 4.9% since inception. An investment of \$100,000 in the S&P 500 on October 1, 2003 was worth \$606,800 on March 31, 2023 - an annualized gain of 9.7%. The S&P 500 gains include reinvested dividends. In the graph above, the start date for PIF4 is shown as Dec 31, 2003 for readability. The correct start date is Oct. 1, 2003.

General Comments

All three funds were down between 4 and 5.6% for the quarter while the S&P 500 was up 7.5%, which is a significant delta. However, it is also a short period and not much can be gleaned from this data. In the first two weeks of April, the three funds were up between 5.4 and 6.8% while the S&P 500 was flat. Not much can be gleaned from this data either. I do believe the funds turned a corner a year ago and are well positioned to deliver superior results in the years ahead.

An important development in Q1 2023 is that we have identified two great businesses to add to all three funds and are loading up on them daily. The funds were already well positioned to do well at year end. With these two marvelous additions, they are likely to do even better in the years ahead.

I was in Turkiye for about two weeks in late March. We had a full schedule of meetings and site visits. Fahad and I were also able to do deeper dives into our existing holdings like TAV Airports and Reysas, which was wonderful.

TAV Airports

Pabrai Funds has a full position in TAV Airports. I discussed TAV at our 2022 Annual Meeting: [2022 Annual Meeting Presentation Transcript](#) and [2022 Annual Meeting Presentation](#) (pw: **Munger**). Headquartered in Istanbul, TAV operates fifteen airports in eight countries. Their various subsidiaries and service companies have operations in 108 airports in 29 countries. Virtually all of their revenues are denominated in Euros. A considerable portion of their Turkish expenses are in Lira.

Turkiye has sky high inflation and a currency which devalues considerably every year. TAV Airports is immune to this because of their Euro-based revenues. The high inflation and devaluations are actually a tailwind as their Turkish Lira based expenses are rising at a lower rate than the Lira is devaluing. In general, our forays into Turkiye are singularly focused on businesses that face no headwinds from inflation or devaluations.

In Turkiye, virtually all foreign institutional investors have exited the country due to these macro concerns. There are, however, a small sliver of businesses that are unaffected by all this. The baby got thrown out with the bath water. It is the cheapest large equities market in the world. Digging into these businesses has already been quite profitable for Pabrai Funds.

"Go fishing where the fish are."

- Charlie Munger

I have met with TAV management in-person several times in Istanbul. We have had a few Zoom calls with them as well. In October 2022, I visited Almaty Airport in Kazakhstan and

met their Almaty General Manager and team. I came away very impressed. This is TAV's newest airport. The deal was consummated in the middle of the pandemic when passenger traffic approached zero. This deal was the subject of a HBS case study ([TAV Airports: Acquiring Almaty International - Harvard Business School](#)) and anyone can buy that case for \$8.95 from Harvard.

The Almaty deal was highly unusual because it is one of the very few major airports in the world that is owned outright privately into perpetuity. Virtually all privately operated airports are BOT (Build, Operate, Transfer) deals where a concession is granted for 10-40 years after which ownership and management reverts to the government. TAV's ownership into perpetuity at Almaty is a very big deal. They will never pay any concession renewal fees at Almaty.

Including capex, the Almaty deal had a \$650 million price tag and TAV owns 85% of it. 70% of the purchase price was financed at a fixed 4% interest rate on a multi-decade non-recourse loan. Almaty international air traffic movements and passengers in Q1 2023 are already more than 33% above Q1 2019 – and massively above TAV's internal forecasts when the deal was done. In 2-3 years, Almaty's EBITDA may exceed \$150 million a year and this number may grow at more than 5% a year almost endlessly. The value of Almaty Airport alone exceeds the market cap of the entire company. The ROE on Almaty is incredible.

In March, I made a field trip to Havas, TAV's ground handling subsidiary in Istanbul and met its senior management. I also visited the Antalya and Izmir airports recently and met their respective General Managers. All of these field trips and drill downs have only served to deepen my conviction in TAV. It is an excellent business run by exceptional managers with high ROE and a very long runway. TAV will probably keep adding a new airport every 2-3 years for decades. In addition, rising passenger traffic in their geographies will give them robust growth in the years ahead. This dog will hunt!

Reysas

I have discussed Reysas in the past here - [PIF3 Investor Deck](#) (page 6), [Jul. 2022 Letter to Partners](#) (page 6), [2022 Annual Meeting Presentation](#) (pw: Munger) (from 1:41), [2022 Annual Meeting Presentation Transcript](#) (page 3), [2021 Annual Report](#) (page 3), [2021 Annual Meeting Presentation](#) (pw: Munger) (from 2:00), [2021 Annual Meeting Presentation Transcript](#) (page 3), [Jan. 2021 Letter to Partners](#) (page 8), [2020 Annual Meeting Presentation](#) (pw: Munger) (from 3:00) and [2020 Annual Meeting Presentation Transcript](#) (page 5). In March, I met with Reysas management again and visited some of their warehouses in Istanbul, Antalya and Izmir. We remain bullish on Reysas.

I highlighted fund concentration in my [January 2023 letter](#) where I mentioned that the top four positions in all three funds made up about 70% of assets. This is still very much the case. Reysas and TAV now make up about 55% of assets in PIF3. Both are deeply undervalued and we have no plans to trim these positions. Please read the January letter so you are fully aware of our concentration and approach.

With the new names being added to the funds, I feel like we have an all-star team. We do own a few businesses that I would characterize as good, but not great. Over time, as they get to fair value, these will be cycled out and replaced with higher quality names. There are no guarantees, but the future looks very bright for Pabrai Funds.

Alignment of Interests

My immediate family has a stake of 175,859 units of PIF2 and 227,121 units of PIF4. The administrative team at Pabrai Funds and I own 42,917 units of PIF4 and 11,773 units of PIF3 in various retirement accounts. In addition, The Dakshana Foundation owns 101,896 units of PIF3. The aggregate stake of the Pabrai family, the Pabrai Funds team and The Dakshana Foundation in Pabrai Funds is worth approximately \$30 million.

Pabrai Funds charges no management fee, just performance fees – which are $\frac{1}{4}$ of the returns over 6% annualized (subject to high-water marks). I only get paid when you make money. When you win, I win. I am very bullish on the long-term future of Pabrai Funds – as demonstrated by my being the second largest investor in the funds. No fees were earned in Q1 2023.

I have an approximately \$4.4 million investment in Dhandho Holdings. Additionally, The Dakshana Foundation has an approximately \$0.5 million investment in Dhandho Holdings. Besides this, I have no other meaningful interests in any other mutual funds, hedge funds or private equity funds. Our interests are completely aligned.

Online Portal for Investor Statements

Your 3/31 investor statement have been uploaded to your investor portal. If you have trouble accessing your investor portal or need to reset your password, please contact Kimberly Engleman at ke@pabraifunds.com for assistance.

Our fund administrator, Liccar, has migrated all investor portals to a new platform. You should have already received a link from Liccar Fund Services to set up your new portal. If you did not receive your email invitation, or you are experiencing issues, please contact Kimberly as soon as possible.

Final K-1's (for US Investors)

For PIF2 and PIF4 investors, your final K-1s were uploaded to the portal mid-March. If you (or your accountant) need assistance downloading the K-1, please nudge Kimberly Engleman at ke@pabraifunds.com.

Annual Redemption Date Only for Retirement Account RMDs

We have an annual redemption date on September 30th only for retirement accounts invested in the PIFs in which the beneficial owner is 72 years or older. The purpose of this is to allow folks who are 72 years or older and who are invested in the PIFs with retirement

assets to meet their annual RMDs. These investors can also still redeem whatever they wish on 12/31 with 60 days' advance notice.

We recommend that these folks make their first redemption request with the next 5 years in mind and redeem 20% of their balance. They can then keep those retirement funds in cash or a low-cost index fund with daily liquidity (e.g., an S&P 500 index fund with their broker/custodian) and tap that annually for RMDs as needed. Then, each year, they can redeem an additional 3.5% - 7% to make sure that they have sufficient funds for RMDs at all times.

We need to receive the redemption request with 60 days' advance notice (i.e., by August 1st). Please nudge Kimberly Engleman at ke@pabraifunds.com if this is of interest and she will provide you with a redemption request form.

Office Phone Number

Although we moved to Austin, Texas in September 2021, we had kept our old Irvine, California phone number active and forwarding to Austin. The time has come to switch off our Irvine number for good and we will be doing so on May 1st. Please update your address books to our Austin office number: +1.512.999.7110.

Annual Report – Will be out in Q2 2023

Our modus operandi now is to provide expansive commentary in the annual reports and the annual meetings. The quarterly letter will continue to provide updated performance numbers and announcements, but minimal commentary. The annual report is slated to be published in Q2 2023.

Chai With Pabrai Blog

Please check out my blog www.ChaiWithPabrai.com which I try to keep updated. With zero travel due to Covid, I have reduced my decline rate on speaking to students. I try to do 1-2 Zoom sessions with students every month. This is about the max. of what I am interested in doing. Here are some recent additions to the blog:

Chat with students at the Rotman School of Management on March 3, 2023

I very much enjoyed my session with students at the Rotman School of Management and the Rotman Student Investment Fund on "Circle the wagons" investing approach. I also talked about Warren Buffett's 2022 Shareholder letter and circle of competence.

[Chat with students at the Rotman School of Management on March 3, 2023](#)

Q&A Session with London School of Economics on January 18, 2023

I enjoyed my talk with the students at London School of Economics where I discussed sustainable moats and Charlie Munger's mental models.

[Q&A Session with London School of Economics on January 18, 2023](#)

Suggestion Box

We are always interested in hearing how we can better serve you. Please feel free to email me any suggestions/feedback you may have at mp@pabraifunds.com

2023 Annual Meeting

There will be two annual meetings held sequentially in 2023: an in-person meeting in Austin, Texas and a virtual meeting. These meetings will cover Pabrai Funds, Dhandho Holdings and Dhandho Funds.

The **In-Person Austin** meeting is scheduled to be held on **Saturday, September 9th, 2023** at 4:00 PM Central Time at:

[St. Edwards University](#)

John Brooks Williams Science Center South
3001 South Congress, Austin, Texas 78704-6489

Tel: +1 512-448-8400

St. Edwards has a beautiful campus lined with 100-year-old Texas live oak trees and is only 10 minutes from downtown Austin. It is also a 10-minute drive from Austin-Bergstrom International Airport (AUS).

There are many hotels and Airbnbs in downtown Austin, and cheaper options 10-15 miles out.

Agenda for the Austin meeting:

4:00 – 4:30 PM:	Meet and Greet
4:30 – 6:30 PM:	Presentation and Q&A
6:30 – 7:15 PM:	Cocktail Hour

The **Virtual** meeting is scheduled to be held via video conference on **Saturday, September 23rd, 2023** at 2:00 PM Central Time. Confirmed guests will receive instructions via email on how to attend the virtual meeting.

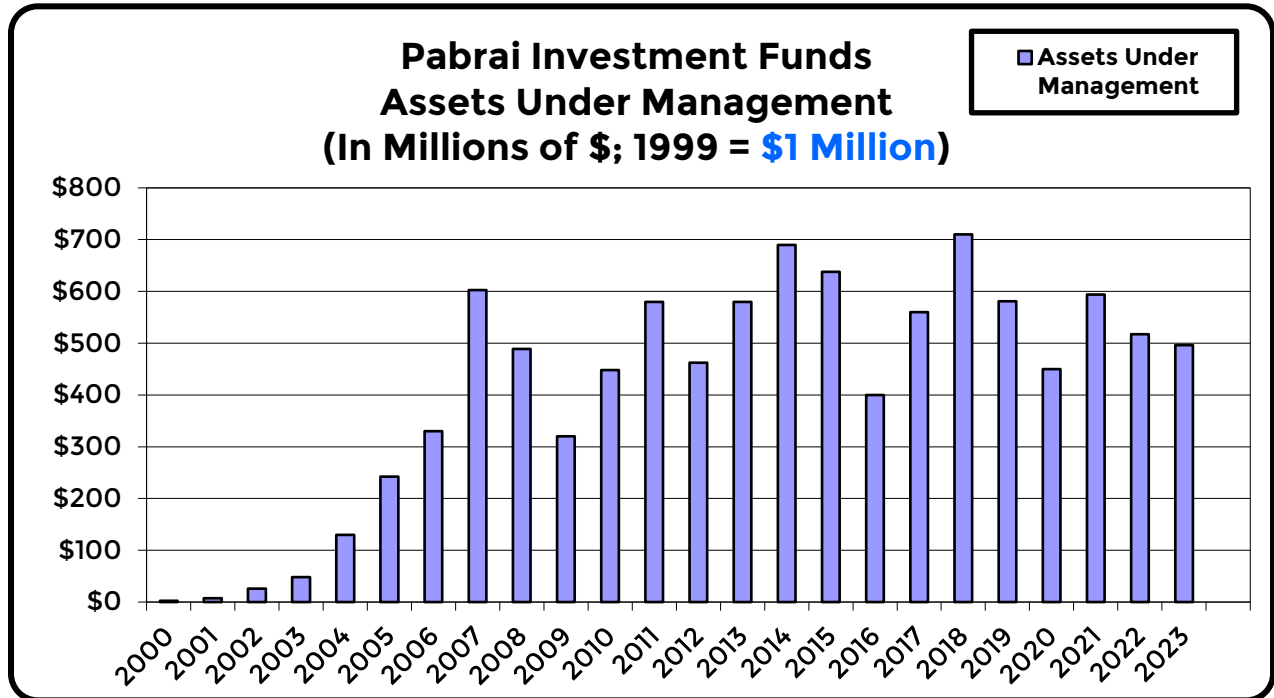
Agenda for the virtual meeting:

2:00 – 4:00 PM Central Time:	Presentation and Q&A
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The invites will go out electronically via email in July 2023. Look for it in your inbox! If you don't receive it, please contact invite@pabraifunds.com. Your significant other and young kids are welcome to attend. As we are a Registered Investment Advisor, the SEC requires that all guests must be "accredited investors," which includes your adult kids (22 years or older). The invitation is non-transferable. I look forward to seeing you in September.

Assets Under Management

There is \$496 million in assets across all three funds as of March 31, 2023.



Thanks for your continued interest, referrals and support. Feel free to call me at +1512.999.7110 or email me at mp@pabraifunds.com with any queries or comments.

Warmly,

Mohnish Pabrai

Note: The assets under management in the above graph are as of June 30 for all annual periods. Various indices are included throughout this letter for reference. Reference to an index or benchmark does not imply that the strategy will achieve returns, experience volatility, or have other results similar to the index. As an example, the Funds may invest in foreign securities or fixed income instruments; however the indices presented only include U.S. securities. These indices are purely a basket of stocks, and the Funds may invest in securities other than stocks such as bonds, warrants and preferred stocks. The Funds typically hold fewer than 10 positions as compared to 500 in the S&P, 30 in the DJIA, and thousands in the NASDAQ. Therefore, the Funds are significantly more concentrated than the benchmark indices and may experience notably higher volatility and return characteristics from these indices.

Appendix A

PIF2's Performance History (Net to Investors)

No. of Units	Date	PIF2 NAV
110,000	10/01/2000	\$10.00
330,014	06/30/2001	\$11.74
1,027,795	06/30/2002	\$15.89
1,950,982	06/30/2003	\$21.32
2,445,212	06/30/2004	\$29.58
2,696,687	06/30/2005	\$36.52
2,646,687	06/30/2006	\$41.99
3,013,111	06/30/2007	\$56.25
2,934,990	06/30/2008	\$38.01
2,468,091	06/30/2009	\$28.45
2,409,165	06/30/2010	\$40.84
2,257,421	06/30/2011	\$55.46
2,180,892	06/30/2012	\$43.36
2,057,676	06/30/2013	\$61.68
1,906,927	06/30/2014	\$78.13
1,795,006	06/30/2015	\$74.64
1,684,602	06/30/2016	\$52.26
1,774,805	06/30/2017	\$86.17
1,959,084	06/30/2018	\$106.77
1,896,122	06/30/2019	\$86.30
1,830,037	06/30/2020	\$77.13
1,841,919	06/30/2021	\$107.77
1,807,058	03/31/2022	\$88.11
1,859,576	06/30/2022	\$76.64
1,885,954	09/30/2022	\$75.82
1,851,599	12/31/2022	\$94.21
1,860,621	03/31/2023	\$89.00

PIF3's Performance History (Net to Investors)

No. of Units	Date	PIF3 NAV
65,100	02/01/2002	\$10.00
265,919	12/31/2002	\$9.48
485,041	12/31/2003	\$18.63
1,774,753	12/31/2004	\$21.37
2,478,793	12/31/2005	\$21.32
2,930,608	12/31/2006	\$29.37
6,438,615	12/31/2007	\$27.09
5,415,189	12/31/2008	\$10.57
5,038,658	12/31/2009	\$23.79
4,885,267	12/31/2010	\$31.95
4,701,613	12/31/2011	\$26.92
4,318,818	12/31/2012	\$33.21
4,384,591	12/31/2013	\$48.70
4,290,222	12/31/2014	\$49.61
3,805,336	12/31/2015	\$41.33
2,433,652	12/31/2016	\$42.27
2,409,693	12/31/2017	\$88.45
2,473,097	12/31/2018	\$51.42
2,376,897	12/31/2019	\$57.85
2,326,717	12/31/2020	\$68.52
2,442,868	12/31/2021	\$58.11
2,493,556	03/31/2022	\$50.25
2,667,607	06/30/2022	\$47.11
2,698,641	09/30/2022	\$47.22
2,795,778	12/31/2022	\$67.86
2,812,505	03/31/2023	\$65.12

PIF4's Performance History (Net to Investors)

No. of Units	Date	PIF4 NAV
595,030	10/01/2003	\$10.00
1,219,330	12/31/2003	\$10.84
5,627,712	12/31/2004	\$12.40
9,314,803	12/31/2005	\$13.01
11,528,331	12/31/2006	\$17.23
16,899,746	12/31/2007	\$16.64
15,737,042	12/31/2008	\$ 6.66
15,725,066	12/31/2009	\$14.57
15,251,129	12/31/2010	\$19.05
14,493,713	12/31/2011	\$16.24
12,398,564	12/31/2012	\$18.85
11,560,683	12/31/2013	\$27.53
10,642,015	12/31/2014	\$28.03
9,531,764	12/31/2015	\$23.71
8,792,042	12/31/2016	\$25.21
8,040,030	12/31/2017	\$40.96
7,809,565	12/31/2018	\$31.64
6,628,989	12/31/2019	\$37.33
6,034,088	12/31/2020	\$34.82
6,273,790	03/31/2021	\$35.24
6,295,904	06/30/2021	\$35.75
6,331,699	09/30/2021	\$34.92
5,783,836	12/31/2021	\$35.33
5,894,056	03/31/2022	\$29.33
6,169,477	06/30/2022	\$25.84
6,326,745	09/30/2022	\$24.48
5,749,279	12/31/2022	\$26.69
5,825,152	03/31/2023	\$25.20

Past performance is not indicative of future results. Returns are presented net of all fees and expenses, include the reinvestment of income and are calculated using a simple rate of return. The securities discussed do not represent all securities recommended for the Funds. It is also not a recommendation to buy or sell and one should not presume they will be profitable.

Please be aware that our past newsletters may discuss specific securities that have performed well without necessarily addressing those that have underperformed within our Fund(s). Readers should not infer that all investment decisions within the Funds were profitable.